

BUSINESS PLAN

InFashionAI

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Table of Contents

Table of Contents.....	2
1. Management Summary.....	3
2. Problem Statement.....	5
3. Solution and Value.....	7
The Proposed Solution.....	7
Addressing the Identified Problem.....	7
Value Created for Users.....	7
Validation and Differentiation.....	8
Innovation.....	8
4. Value & Traction.....	9
5. Trends & Market.....	11
5.1 How the market is developing.....	11
5.2 Market size (TAM / SAM / SOM).....	11
5.3 Competition and the ethical wedge.....	12
5.4 Barriers to entry.....	12
6. Finances.....	13
6.1 Cost structure.....	13
6.2 Financing.....	13
6.3 Break-even and key assumptions.....	13
6.4 Financially relevant milestones.....	14
6.5 Allocation of a provided investment (top-3).....	14
6.6 Key risks to the financials.....	14
7. Team.....	15
Strengths and Weaknesses.....	15
Team Composition & Roles.....	15
Himanka Ashan Warnasooriya — CEO & CTO.....	15
Pamirbek Almazbekov — Product Lead.....	16
Andriy Karpenko — Finance Lead.....	16
Atakan Usta — Operations Lead.....	16
Herath Mudiyanseelage Nadupa Damsika Bandara — Back-End Lead.....	16
Plamena Dimitrova — Front-End Lead.....	16
8. Contact & Call to Action.....	17
Contact.....	17
References.....	18
Appendix.....	19

1. Management Summary

Small and early-stage fashion brands often face a major challenge: they need professional marketing content to attract customers, increase online visibility, and compete with larger brands, but they usually do not have the financial resources, time, or team capacity to organize traditional photoshoots and video productions. High-quality product images, model photos, campaign visuals, and short promotional videos are important for social media and online sales. However, creating this content normally requires photographers, models, stylists, locations, editing, and several days or weeks of production. For small brands, this creates high costs, slow content creation, and limited marketing capacity.

Our solution is an AI-based software platform for small and design-focused fashion businesses. The platform allows users to upload photos of their clothing products and generate professional studio-style product images, campaign visuals, and promotional videos. The user can describe the desired style through a prompt, select models or visual settings, edit images and videos, and share the final content directly for marketing purposes. The goal is to make professional content creation faster, cheaper, and more accessible for small fashion brands that want to improve their online presence.

The core value of our solution is that small fashion brands can create high-quality marketing content without needing to hire an external agency for every campaign. This saves time, money, and effort. Instead of spending several thousand euros on one photoshoot and waiting multiple weeks for usable assets, users can generate content on demand. This gives small businesses more flexibility, allows them to test different styles, and helps them react faster to seasonal trends, product launches, and social media demands.

Our customer research supports the relevance of this problem. Small fashion business owners stated that marketing content, social media visibility, and online sales are among their biggest priorities. They also mentioned that content creation, inventory management, and marketing are time-consuming and difficult to manage with limited resources. Interviewees confirmed that high-quality images and videos strongly influence customer attention and buying decisions. They also reacted positively to the idea of an AI tool that can create professional marketing content, because it could save time and reduce the effort needed for repetitive content production.

The market opportunity is promising because the apparel and fashion industry is large, highly visual, and increasingly influenced by online shopping and social media. Fashion brands need a constant flow of content for Instagram, TikTok, websites, online shops, and advertisements. Larger brands can afford professional agencies and frequent productions, but small brands often cannot. This creates a clear market gap: affordable, fast, and easy-to-use marketing content creation for small and growing fashion businesses. Our target group is mainly small-scale fashion brands, boutiques, and young designers with limited marketing budgets but a strong need for professional visual content.

Compared to existing competitors, our concept focuses strongly on accessibility for small brands and on a guided, user-friendly workflow. The platform is planned as a desktop application with a ChatGPT-like interface, where users can upload a product image, write a prompt, choose options, and receive generated content. Additional features include chat history, a model gallery, image and video editing options, sharing tools, user profile and credit overview, subscription plans, and a knowledge graph. The knowledge graph is an

important differentiating feature because it can help connect the brand's existing data, such as products, collections, target groups, styles, campaigns, and customer preferences. This can make the generated content more brand-specific and useful over time.

The expected impact is mainly economic and practical. For small fashion businesses, the platform can reduce marketing costs, shorten production time, and increase the amount and quality of marketing content. This can help them improve social media performance, reach a larger audience, and potentially increase sales. On a broader level, the solution supports entrepreneurship by making professional marketing tools more accessible to smaller players in the fashion industry. However, the project also requires reflection on possible negative effects, such as the changing role of photographers, models, and agencies. Therefore, the platform should be positioned not only as a replacement for traditional production, but also as a tool that gives small brands more options when professional production is not affordable.

The key costs of InFashionAI are divided into one-time setup costs and ongoing operating costs. One-time costs include company formation, laptops and equipment, pre-launch research and development, and likeness/model shoots for creating the AI model roster. The main ongoing costs are founder salaries, AI generation costs, royalties, marketing and customer acquisition, and software tooling. The most important milestones are completing the prototype, testing it with small fashion brands, launching the MVP, acquiring first paying customers, and scaling the subscription model. According to the financial model, the company aims to reach monthly break-even in the third year, around month 29, if the planned customer growth and subscription targets are achieved.

Our team is qualified because it combines technical, design, and business-oriented competencies. The team works on AI-based software, prototyping, user research, market analysis, financial planning, and business model development. We have already conducted interviews with potential users, developed a value proposition, discussed customer jobs and pains, analyzed competitors, and planned a prototype. This combination of technical understanding, user-centered thinking, and business planning gives the team a strong foundation to develop the idea further.

In conclusion, our startup idea addresses a real and relevant problem for small fashion businesses: the need for professional marketing content with limited resources. By using AI to generate images and videos from clothing product photos, the platform can reduce costs, save time, and help small brands compete more effectively in a digital and social-media-driven fashion market. We recommend continuing with a focused prototype and a pilot phase with selected small fashion brands to validate the solution, pricing, and long-term business potential.

2. Problem Statement

In today's digital world, brands around the world require more than just a simple marketing strategy to profit. Especially for fashion brands visual content has become one of the most important factors influencing customer perception, engagement, and purchasing decisions. Companies are expected to constantly produce professional images for websites, social media campaigns, advertisements, product launches, email marketing, and e-commerce platforms. However, creating high-quality branded photography remains expensive, time-consuming, and operationally complex.

For a traditional photoshoot a brand requires a large number of resources, including photographers, models, makeup artists, stylists, creative directors, studio rentals, equipment, etc. This causes even the smallest campaigns to cost thousands of dollars and would take weeks or months of planning before final assets are delivered. For larger brands that is even harder because they need fresh and new content regularly which makes it more challenging.

Beyond the financial burden, maintaining visual consistency across multiple campaigns is another major challenge. Brands invest substantial effort in developing a recognizable identity through specific colors, lighting styles, compositions, locations, model characteristics, and storytelling approaches. However, when working with different creative teams, agencies, photographers, and production environments often causes them to interpret brand guidelines differently. As a result, campaigns may vary in style, reducing brand consistency and making it harder to build a strong visual identity.

The problem becomes even more significant for small and medium-sized businesses. Many companies lack the budget to conduct frequent professional photoshoots, forcing them to rely on stock photography, low-quality user-generated content, or outdated campaign assets. These alternatives often fail to accurately represent the brand and can negatively affect customer trust and brand perception.

As previously mentioned, this problem affects a wide range of organizations and professionals. Some of them are:

- E-commerce brands
- Fashion and apparel companies
- Beauty and cosmetics brands
- Consumer product companies
- Marketing agencies
- Creative agencies
- Startup businesses
- Small and medium-sized enterprises
- Social media marketing teams
- Brand managers and creative directors

These groups depend heavily on visual content to attract customers, communicate brand values, and differentiate themselves from competitors. Another group that is indirectly affected by this problem are the consumers. Inconsistent or low-quality visual content can

make brands appear less trustworthy, less professional, and less authentic, ultimately impacting purchasing decisions and customer satisfaction.

The challenge of producing professional brand photography also affects organizations on both strategic and operational levels. In bigger organizations, marketing teams spend a lot of time managing the photoshoots, reviewing creative concepts, and approving final decisions, while the creative directors face pressure to produce new campaigns quickly which may cause delays in product launches. And for small businesses and startups limited budgets often force difficult trade-offs between investing in product development, marketing, or professional content creation.

Organizations currently rely on several approaches to address this problem, but each comes with significant drawbacks.

The first of them is the traditional professional photoshoots. They remain the industry standard for producing high-quality branded content. While effective, they are expensive, time-consuming, and difficult to scale.

Another approach is the use of stock photography. Many companies use stock image libraries as a low-cost alternative. However, stock photos often lack uniqueness and rarely align perfectly with a brand's identity.

Some brands encourage customers or influencers to create content on their behalf. While this approach can increase authenticity, it often results in inconsistent quality, styling, and messaging. Maintaining a cohesive visual identity becomes challenging.

Lastly, larger organizations may build internal photography and content production teams. Although this provides greater control, it requires substantial investment in personnel, equipment, software, and ongoing operational costs.

The importance of this problem continues to grow as businesses become increasingly dependent on digital marketing and visual communication. Consumers are exposed to thousands of images every day. In such a competitive environment, brands must establish a strong and recognizable visual identity to capture attention and build trust. Companies that fail to maintain consistent branding risk losing visibility, credibility, and customer engagement.

At the same time, the demand for content is increasing rapidly. Businesses must create assets for websites, social media platforms and online stores. The rise of e-commerce and digital-first brands has further intensified the need for scalable content creation solutions. Traditional production methods struggle to meet these growing demands efficiently.

Solving this problem would provide substantial benefits for businesses of all sizes.

An intelligent system capable of understanding a brand's visual identity and automatically generating professional photoshoots could dramatically reduce production costs, shorten campaign timelines, and improve consistency across all marketing channels.

Such a solution would allow companies to scale content production, launch campaigns faster, experiment with creative concepts more efficiently, and maintain a consistent brand image across every customer touchpoint. Ultimately, this would enable organizations to focus more on strategy, innovation, and growth rather than the logistical challenges of traditional content production.

3. Solution and Value

The Proposed Solution

The proposed solution is an AI-based software application that enables fashion brands to generate professional-quality marketing content for their clothing products. The platform is delivered as a Software-as-a-Service (SaaS) offering with subscription-based pricing. Users upload images of their clothing items and provide text prompts describing the desired model and visual style. On the basis of these inputs, the application generates realistic images, and where required video content, depicting models wearing the uploaded garments within a professional fashion-shoot environment. In this way, the software is intended to provide a visual result comparable to that of a conventional studio photoshoot without requiring the brand to organise one.

Addressing the Identified Problem

The solution responds directly to the problem outlined in the previous section. Beginner-level and small-scale fashion brands frequently lack the resources required to produce professional product imagery, since conventional content creation depends on hiring photographers and models, renting studio space, and applying specialised editing skills. Each of these requirements consumes considerable money, time, and effort, and together they form a barrier that prevents newer businesses from presenting their collections at a competitive visual standard. By generating comparable content from uploaded garment images and descriptive prompts, the application removes the dependence on external agencies and the cost structure associated with them. The guided, prompt-based interface also addresses a second constraint identified in the customer analysis: because the content is produced through simple inputs, users are not required to possess photographic, editing, or other technical skills in order to obtain professional results.

Value Created for Users

The central value of the solution lies in reducing the cost, time, and effort needed to produce marketing materials. A traditional photoshoot requires coordinating several external parties and incurs significant expense, whereas the platform allows brands to generate high-quality content quickly and at any time, at a fraction of that cost. This addresses the principal objective of small-scale fashion businesses, for which effective visual presentation is closely tied to the sales they depend on to survive in a competitive market. By lowering the financial and organisational barriers to professional content, the solution enables emerging brands to compete more effectively with established companies, to reach a larger audience, and to redirect their limited resources toward other areas of the business. It also allows these brands to maintain professional marketing standards and to present their products in a distinctive way, supporting differentiation in a crowded market. Because the SaaS model can be adapted to the needs of individual designers, startups, and growing businesses, this value remains accessible across different stages of business development. The wider effect, in line with the project's intended outcome, is an expansion of access to professional fashion marketing, allowing a greater number of small and local brands to present their products at a

professional standard and thereby improve their prospects of entering and remaining in the market.

Validation and Differentiation

To examine the relevance of the problem and the proposed solution, two qualitative interviews were conducted with owners of small fashion brands. Both respondents confirmed that producing high-quality marketing content is a real and ongoing concern. The first identified content creation, alongside marketing and inventory management, as a recurring difficulty, and described high-quality, visually engaging content as the single most important factor in reaching and expanding a customer base. The second placed particular emphasis on video, explaining that the visual context in which a product is presented strongly influences customer perception and that maintaining this quality is central to his business. Both also stressed the shift toward online and social media channels as the primary means of acquiring customers. When asked about an AI tool for generating marketing content, both reacted favourably: the first expected it to save time and produce more customer-focused material, while the second, who already uses AI for minor image corrections, regarded a dedicated tool as a substantial improvement to his workflow. Notably, the second respondent reported that general-purpose AI systems had failed to produce satisfactory images of a model wearing his products, indicating a concrete gap that a specialised solution could address. When asked which tools they currently lack but would value, each independently pointed to AI-based generation of marketing content. These responses provide initial support for the assumption that the problem is genuine and that the proposed functionality corresponds to needs articulated by the target group.

Existing tools confirm that the approach is feasible while also clarifying the solution's distinct contribution. Two comparable applications, Botika and Milano AI, both provide the core functions of on-model image and video generation, which indicates that AI-based fashion content creation is technically viable and already established in the market. A feature comparison of these tools shows, however, that they differ in what they offer beyond this core: Botika does not provide data integration, direct social media publishing, or a model referral and royalty program, while Milano AI lacks data integration and a royalty program. The proposed platform is distinguished by combining all of these functions within a single application, offering, alongside image and video generation, the integration of the customer's existing data through custom tokens, direct social media publishing, a model referral and royalty program, and the most generous entry tier of the three, namely a full one-month plan for new users. Rather than introducing an individual feature that competitors lack, the platform's advantage lies in consolidating the full range of relevant functions in one tool, so that users are not required to compromise on capabilities or to combine several separate services. This breadth, which extends beyond content generation to data integration, distribution, and a model incentive scheme, constitutes its principal advantage relative to the alternatives currently available.

Innovation

Beyond this comparative advantage, the innovative character of the solution lies less in the underlying generative technology itself than in its specific application and accessibility. The platform applies AI-based image and video generation to the particular task of fashion product presentation and delivers this capability through an affordable, prompt-driven service aimed at users without technical or creative expertise. It therefore makes a function that

would normally require a coordinated team of specialists available to a market segment that has largely been excluded from professional-standard content production on cost grounds. The novelty is thus twofold: the consolidation of several relevant functions within a single tool, as set out above, and the reframing of professional content creation as a self-service task that small fashion brands can perform independently and at low cost.

4. Value & Traction

The problem is that not many beginner level business fashion brands are capable of producing professional-like images of their clothes. The presentation being one of the most important aspects in fashion one can imagine how much effort and resources are spent to take one photo of the model with the brand's clothes on. Moreover, the marketing of photo results is a big challenge too. So we thought what if we can overcome these challenges with the help of AI. An instrument of our time that wasn't available even 5 years ago. This was the moment of brainstorming where all key points were approached carefully. In the end the product is an AI software that users can prompt images of the clothes and the software outputs the clothes on a model with professional style. With this product introduced to the world the level entry for successful business gets lower making it accessible for more fashion brands than before. Therefore, our solution reduces cost, time and expertise that is required in traditional product marketing.

Economic impact is quite obvious: the fashion brands do not need to face high expenses related to photography, model hiring, studio renting and they can partially avoid marketing costs. The whole automated process of AI software simplifies the work and the only thing left is for a person to judge whether the results were good enough to be posted in social media or shared with a person. The time is saved by multiple factors, what could have taken a full week can be done in minutes. This allows a creative person, who is behind the fashion brand, to spend more time on thinking up or reacting to recently published fashion trends.

There are pretty good chances of a positive environmental impact of the solution we proposed, because the photoshoot process requires people to use transport. Be it a photoshoot in a studio, at client's home or outside it requires at least one side to travel with transport with all the equipment loaded into a vehicle (unless the photographer and client live near each other, but that can't be true for every case). So with Fashion AI the need for changing places disappears and therefore might decrease the CO2 emissions.

As a social impact the software would produce by default images of models with diverse origins. This visual representation of people with different characteristics such as cultural backgrounds supports inclusivity and diverse fashion marketing

The project is currently in the prototype and testing phase. Recent progress in generative AI and computer vision has shown that it is possible to create realistic fashion images from simple product photos [12], [13] and automate social media management. Based on these advances, the first version of the platform focuses on improving product images, creating virtual models, changing backgrounds, and automatically generating social media content.

Although the project has not yet been fully launched as a commercial product, there are strong signs that it can succeed. Similar companies, such as Botika [14] and Milano AI [15], have already demonstrated market interest in this type of solution. The growing use of

AI-generated content in the fashion and e-commerce industries shows that businesses are looking for faster and more scalable ways to create marketing content [16]. Conversations with fashion retailers, online sellers, and independent designers have also highlighted common problems, including high photography costs, slow content production, and the difficulty of maintaining an active social media presence. The proposed platform is designed to solve these problems through automation and AI-powered content creation.

Based on industry data and the results achieved by similar AI solutions, businesses using the platform could potentially reduce content creation costs and significantly speed up the production of marketing materials. More frequent posting, better content consistency, and higher-quality visuals could also help increase customer engagement and improve sales. While these benefits have not yet been fully proven for this project, they are supported by current industry trends and existing technology [16].

Over the next six months, development will focus on completing the minimum viable product (MVP) and testing the quality of generated images across different types of clothing. Pilot projects with a small group of fashion brands and online retailers will provide valuable feedback and help improve the platform's features and user experience. Developing an MVP within six months is common practice in software startups because it allows developers to release a functional product with only the core features [17].

Within the next twelve months, the goal is to launch a beta version of the platform, expand its content creation capabilities, and begin building a user base. New features for creating social media campaigns and personalized content will further increase the value offered to customers. It is a natural step to expand into beta testing after technical validation. A beta version of the software allows performance testing with a larger number of users while continuing to improve usability.

During the following two years, the focus will move toward commercial growth, integration with major e-commerce and social media platforms, and expansion of the business. Tools such as analytics and performance-tracking are in consideration for the future to help users measure the impact of their content and marketing. Once the platform demonstrates that it is viable, integrating with major e-commerce and social media platforms becomes a crucial competitive advantage.

In the long term, the goal is to establish the platform as a complete AI driven marketing solution for the fashion industry. By combining image generation, content creation, campaign management, and performance tracking in one platform, the solution could support thousands of small scale fashion businesses. This could help make digital fashion marketing more efficient, affordable, and sustainable. The resulting platform follows current software-as-a-service trends toward unified marketing solutions. This creates additional customer value by reducing the need for multiple separate tools.

5. Trends & Market

InFashionAI sits at the intersection of three converging markets: fashion e-commerce, product photography, and generative AI. The market we address is not the broad “AI software” category but the **visual-content production of fashion brands**: the budget in the past was mostly consumed by photoshoots, models, studios, and retouching. That budget is now migrating to AI, and the shift is what creates our opportunity.

5.1 How the market is developing

The pull behind this shift is mostly economic. In the BoF–McKinsey State of Fashion 2026, executives rank AI the single biggest opportunity for the year; more than 35% already use generative AI for tasks including image creation, and 92% plan to increase their generative-AI investment [1]. The cost case is stark: McKinsey reports Zalando cut image-production costs by 90% using AI-generated imagery [1]. More broadly, the average cost of an AI image fell ~94% between 2022 and 2025 [2]. By contrast, a professional shoot runs from roughly \$2,500–8,000 (€2,200–7,000) for a small e-commerce shoot to over \$20,000 (€18,000) for a campaign, and AI cuts production cost by up to 98% [3]. At the same time, e-commerce content demand keeps rising — every brand needs more imagery, more often, and image quality is a direct conversion lever felt most acutely by small brands on near-zero budgets.

5.2 Market size (TAM / SAM / SOM)

We size the production spend we displace, not total fashion marketing spend (most of which is media placement we do not serve).

Layer	Size	Basis
TAM	~€4.5B	Global fashion image-production spend
SAM	~€280M	~500k actively-trading fashion stores on major platforms × ~€520/yr [4][5][6]
SOM	~€1.07M	Financial model, end of Year 3 (~0.4% of SAM at 2400 active customers)

TAM ~€4.5B. The global commercial photography market is ~\$5.1B (€4.5B), with product photography its largest slice (~45%) and fashion being a leading vertical [7]. Brand image-production spend runs several times photographer fees once models, studios, retouching, and agencies are included, and much is produced in-house and never counted in services-market revenue. Triangulating these against a bottom-up cross-check (millions of fashion e-commerce stores at a low-thousands annual imagery budget) puts total fashion image-production spend on the order of €4–5B. This is our estimate, and while anchored to cited markets, we could not a single published figure. Furthermore we treat it as conservative: it captures current production spend only, not the wider marketing budget, and excludes the fast-growing migration of that spend to AI tools like ours.

SAM ~€260M. The actively-trading fashion stores reachable by self-serve software at our price. The two dominant platforms host ~1 million apparel storefronts; Shopify ~787,000 [4] and WooCommerce ~231,000 [5]. But roughly half are dormant or abandoned [6]; discounting to the ~500,000 that are live and trading, at our realised ARPU of ~€556.8/year,

gives ~€280M. Counting only these two platforms is again conservative, the full multi-platform base (Wix, Squarespace, BigCommerce, custom) is larger and partly offsets the discount. SAM still sits well below the TAM because our subscription price is far below what a brand currently spends per year producing imagery. Undercutting that spend is the value proposition.

SOM ~€1.07M / ~2,400 customers. The financial plan's recognised annual revenue and active paying base at the end of Year 3 is roughly 0.4% of SAM.

5.3 Competition and the ethical wedge

The category is crowded and commoditizing. Alternatives run from DIY (a phone and free apps) and traditional photoshoots to generic AI tools (e.g. Midjourney) and a dozen-plus direct AI-fashion-model tools: FASHN, Botika, VModel, ZMO.ai, Photoroom and others. Running subscription services at roughly \$9–50/month (€8–44) [8]. Every major competitor generates **fully synthetic models**, and none pays a royalty to consented, real humans. That gap is InFashionAI's market position: ethically sourced, rights-clean imagery in a field optimised purely for cost. It also aligns with consumer sentiment: more than half of women (52%) and 41% of men say they are not OK with AI-generated synthetic models [9].

Regulation reinforces that position. The EU AI Act's Article 50 transparency obligations take effect 2 August 2026, requiring AI-generated images to be marked machine-readable and detectable, and AI deepfakes (synthetic content resembling real persons) to be disclosed, under threat of significant penalties [10]. With scrutiny of fully synthetic models and "diversity-washing" also rising, the regulatory and reputational direction favours consented, rights-cleared imagery. Our approach is aligned with where enforcement is heading, and the EUs new watermark requirement would allow us to promote our ethical human-first approach.

5.4 Barriers to entry

The technical barrier is low, anyone can wrap an open image model, which is exactly why the category commoditizes and why the moat cannot be the model itself. McKinsey reports up to 90% of AI initiatives fail to scale past the pilot stage, usually from weak data foundations [1]; sustained quality is the real hurdle. InFashionAI's defensibility rests on three harder-to-copy assets: a **consented real-model roster** with signed likeness rights and revenue share (a legal and relationship asset); a **data flywheel** from per-identity fine-tuned models that improve with every consented shoot; **regulatory alignment** built for Article 50 and likeness-rights scrutiny. The honest risk we carry openly: in a commoditizing market, differentiation and retention, not technology, decide the winner.

6. Finances

6.1 Cost structure

InFashionAI is capital-light and high-margin, with one unusual cost line: a royalty paid to the real people whose likenesses appear in every image. Generation runs on rented compute using our own fine-tuned models, so the marginal cost per customer is low and the dominant costs are team and acquisition, not production. Total three-year expenditure is **~€1.63M**, rising €136k → 532k → 961k across Years 1–3.

Use of funds (3-year)	Amount	Share
Marketing / customer acquisition	€906k	56%
Salaries (incl. employer contributions)	€334k	20%
Model royalties (to consented models)	€196k	12%
Everything else*	€193k	12%
Total	€1.63M	100%

* Likeness shoots ~€60k, payment-processing fees ~€61k, infrastructure (compute, hosting, tooling) ~€57k, one-time setup ~€13k, LoRA training ~€2k.

The royalty is paid per delivered image (€0.1) on 100% of output (produced for paying customers), which is why model royalties (~€196k) are ~70% of COGS; the priced cost of the ethical position. One-time costs are small (~€13k: formation, legal, equipment, R&D). Total infrastructure stays under €60k (~3.5% of spend), so the business scales without an exploding compute bill.

6.2 Financing

InFashionAI is financed entirely non-dilutively — no investors and no debt. The pre-launch build is carried by the EXIST Gründungsstipendium (founder stipends plus ~€29k of material and operating support). The commercial phase then draws on €65k of founder equity (€25k share capital and €40k co-financing) and the €180k EXIST Phase II grant, which results in about €245k of committed capital, with customer revenue funding the remaining ~€1.39M of the three-year cost base. The deepest cash position before the grant arrives is ~€35k, comfortably inside founder-equity cover, so the venture stays cash-positive throughout. Because annual subscriptions are prepaid, cash collected over three years (€1.85M) runs ahead of recognised revenue (€1.59M); the P&L reports the more conservative recognised figure.

6.3 Break-even and key assumptions

Sustained operating break-even (EBITDA ≥ 0) is reached around **month 27**, at ~1,600 customers. Marketing is 56% of spend, which is an intentionally aggressive customer-acquisition strategy, that buys growth rather than optimising for early profitability. Core assumptions, stated transparently:

- **Pricing:** four tiers: Standard €20/mo (20 credits), Advanced €40/mo (50 credits), Pro €100/mo (150 credits), and Studio €250/mo (500 credits). We assume these tiers to be taken in a 50 / 30 / 15 / 5 split. Annual subscriptions get a 20% discount for any

chosen plan. That mix gives a blended new-customer ARPU of €49.5/mo at signup (at launch). The realised ARPU (monthly and annual) at the end of Year 3 is ~€46.4/mo: tier upgrades lift the gross list ARPU to ~€51/mo.

- **Credits:** 1 credit translates to 1 picture output to the customer, not generated images. We give customers in the advanced tier and up unlimited edits, assuming about 3.5 generated images per one output image.
- **Conversion:** ~30% of signups pay from the first month, modelled from a card-required trial, which benchmarks convert at ~31% [11]. The remaining ~70% choose a free trial first. This is the most optimistic assumption in the plan, but it is deliberately counterweighted by conservatism elsewhere in the model: the organic signup is held to a low fixed rate, the trial-to-paid conversion rate is set conservatively (15%) and first-month payers are assumed to buy the same tier mix as every other customer. The final assumption is unreasonably conservative, since customers willing to pay from day one will noticeably skew toward higher tiers; applying the average mix understates their ARPU. This is done to avoid blowing model complexity out of proportion.
- **Retention:** 8%/month churn on monthly plans; annual plans renew at 72% (~28%/year). Blended churn falls to ~5.2%/month by end of Year 3 as the annual cohort grows to ~44% which results in a ~26-month cohort-weighted lifetime.
- **Acquisition:** signup CAC rises ~€81 → €158 with saturation; fully loaded ~€288 per paying customer on paid channels.
- **Unit economics:** gross margin ~83% at scale; LTV ~€1,000; LTV:CAC ~3.5× on paid acquisition; ~7.5-month payback.

6.4 Financially relevant milestones

- **Month 7:** GmbH founding and commercial launch
- **Months 14–31:** EXIST Phase II grant disbursing (€180k).
- **Month 24:** first operating break-even (~1,300 customers, ~€61k MRR).
- **Month 27:** sustained operating break-even
- **End of Year 3:** ~€1.07M recognised revenue, ~2,400 active customers, ~83% gross margin.

6.5 Allocation of a provided investment (top-3)

Non-dilutive by design; any added capital follows the cost base:

- **Customer acquisition** (~56%): the binding growth constraint, highest revenue sensitivity.
- **Team** (~20%): engineering model-consistency, platform robustness and driving organic product signups.
- **Model roster and royalties** (~16%): building and paying the consented-model library that is the entry barrier.

6.6 Key risks to the financials

The forecast's single most sensitive input is the ~30% first-month conversion rate: a materially lower rate would push break-even beyond the three-year horizon, so validating it with early customers is the first operational priority. Two further levers carry the model. **Churn:** if annual-plan adoption disappoints and blended churn drifts back toward 8%/month, break-even slips and the funding need grows, this makes converting monthly customers to annual billing of high strategic priority. **Acquisition:** reaching ~2,400 customers depends on the organic and paid engine performing as modelled. The unit economics absorb pressure on any one lever, but conversion, churn, and acquisition are where the plan succeeds or fails.

Note: estimates for emerging AI and visual-content markets diverge; where possible we used corroborating sources and separated cited values from our own derivations. \$ → € at €/€\$ ≈ 1.14 (June 2026).

7. Team

InfashionAI was founded by a team of six final-year Bachelor's students in Computer Science and Artificial Intelligence at Technische Hochschule Ingolstadt. The team combines deep technical expertise in machine learning, software engineering, and product development with a shared entrepreneurial drive to bring this solution to market. All six team members bring a shared foundation in software engineering, machine learning, and AI systems from their degree programme and professional work experiences. Individual specialisations cover generative AI, cloud infrastructure, financial analysis, product design, and UX. The team is not dependent on any single person for execution, and roles can flex as priorities shift.

Strengths and Weaknesses

Our team's greatest strength is its strong technical expertise. As students of Computer Science, we have the skills to independently develop and refine the platform's core technologies. This technical capability enables rapid iteration, reduces reliance on external developers, and strengthens our credibility with investors and potential customers. Clear role allocation across product, finance, operations, backend, and frontend functions also ensures accountability while maintaining flexibility through shared technical knowledge.

Our main weakness is limited commercial and entrepreneurial experience. As a technically driven team with no prior startup background, we have less experience in areas such as sales, fundraising, go-to-market strategy, and industry partnerships. We also lack direct connections within the fashion industry, meaning our understanding of customer needs is currently based on research rather than firsthand relationships. To address these gaps, we are actively seeking mentorship, industry guidance, and opportunities to engage with fashion brands through pilot projects and customer validation.

The following section introduces the team members in detail.

Team Composition & Roles

Himanka Ashan Warnasooriya — CEO & CTO

Leading the overall vision, strategy, and technical direction of the project. With a strong background in AI and machine learning, Ashan is responsible for the architecture of the product, ensuring the technical feasibility of the platform's key features such as data

integration. Ashan also coordinates cross-functional collaboration and represents the team externally.

Pamirbek Almazbekov — Product Lead

Pamir with a strong background in software engineering, is responsible for the product roadmap, feature prioritisation, and user experience direction. He translates business requirements into technical specifications and acts as the bridge between what the market needs and what the engineering team builds while ensuring the platform delivers on its core value proposition for small-scale fashion brands.

Andriy Karpenko — Finance Lead

Andriy is responsible for financial modelling, cost structure analysis, revenue projections, and other financial decisions. He ensures that business decisions are based on solid financial assumptions, and oversees the product's financial viability as it scales. His work provides the analytical foundation that makes the business case credible to external stakeholders.

Atakan Usta — Operations Lead

Atakan is in charge of project coordination, schedules, and operational processes that ensure team alignment and timely delivery. He also oversees alliances and go-to-market strategies, such as the fashion model partnership program which is one of the platform's primary growing factors. Atakan ensures that strategic ideas are translated into action, and that the team has the operational infrastructure required to service an expanding client base.

Herath Mudiyanseelage Nadupa Damsika Bandara — Back-End Lead

Nadupa designs and develops the back-end infrastructure, API layer, cloud hosting configuration, and credit/subscription management system that support the SaaS business model. His responsibilities are crucial as it handles the core of the product. Nadupa also ensures that the back end can support the high computational demands at scale, and that integrations with third-party services function seamlessly.

Plamena Stoyanova Dimitrova — Front-End Lead

Plamena designs and develops the client-facing application, delivering the interface through which fashion brands interact with the platform on a daily basis. Her role is critical because the front end is what users see, experience, and judge the product by. Plamena is responsible for ensuring the application is intuitive, visually professional, and optimised for the workflows of small brand owners who may not have a technical background.

8. Contact & Call to Action

InFashionAI eliminates the need for expensive fashion photoshoots by enabling small and mid-sized fashion brands to generate professional-quality images and videos through AI. Our prototype already demonstrates two key technical differentiators: Data integration that personalises content generation to each brand's existing data, and a fashion model partnership program that creates an organic, royalty-based acquisition channel that cannot easily be replicated.

We are a technically strong team validated by direct market feedback. Backed by sourced market data and a credible go-to-market plan, we are ready to move from prototype to pilot.

We are looking for:

- Feedback from fashion industry professionals or potential pilot brands
- Mentorship in SaaS go-to-market strategy and early-stage fundraising
- Introductions to potential pilot customers or accelerator programmes

Our ask: We propose a pilot phase with an initial group of fashion brands to validate generation quality, time savings, and cost reduction against traditional photoshoot workflows under real market conditions.

Contact

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Herath Mudiyanseelage Nadupa Damsika Bandara — Back-End Lead

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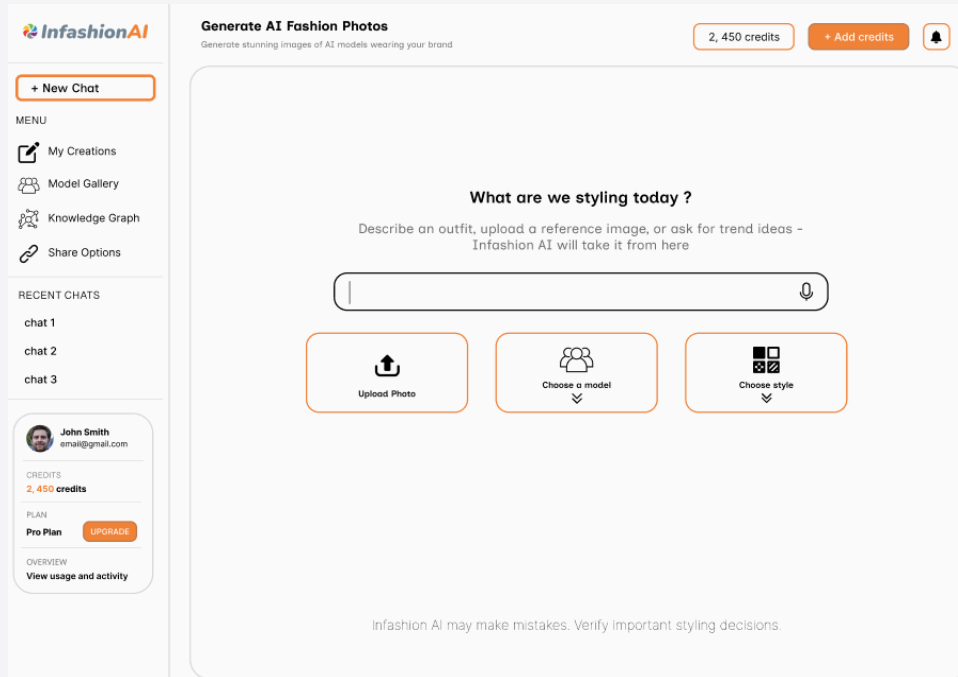
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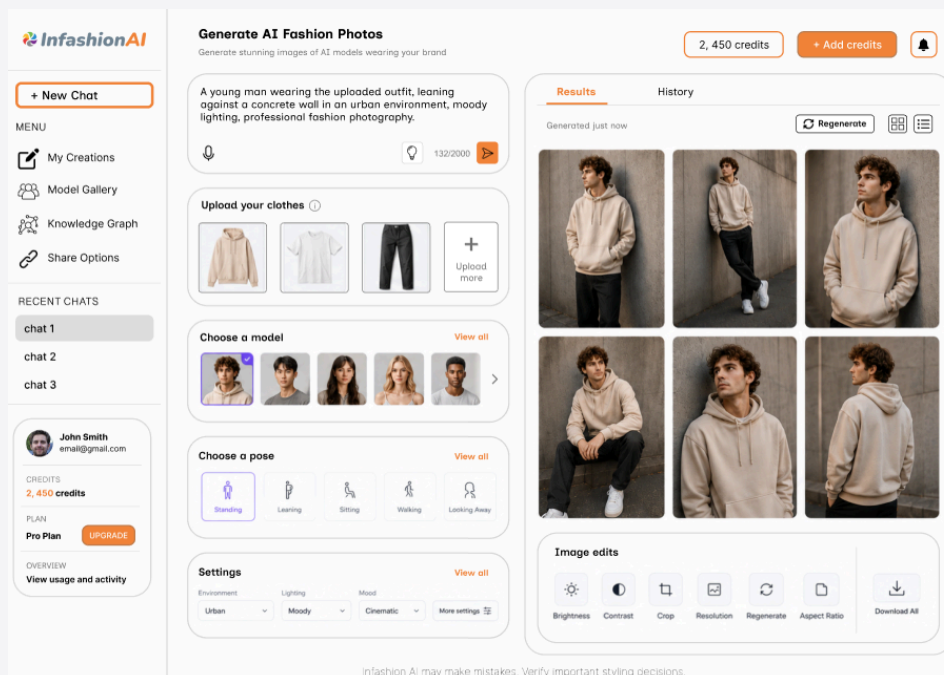
Appendix

Prototype

Home Page



Chat1



My Creations

[+ New Chat](#)

MENU

[My Creations](#)[Model Gallery](#)[Knowledge Graph](#)[Share Options](#)

RECENT CHATS

[chat 1](#)[chat 2](#)[chat 3](#)

John Smith
email@gmail.com

CREDITS

2,450 credits

PLAN

Pro Plan

[UPGRADE](#)

OVERVIEW

[View usage and activity](#)

Generate AI Fashion Photos

Generate stunning images of AI models wearing your brand

2,450 credits

[+ Add credits](#)

chat 1



chat 2



Infashion AI may make mistakes. Verify important styling decisions.

Model Gallery

[+ New Chat](#)

MENU

[My Creations](#)[Model Gallery](#)[Knowledge Graph](#)[Share Options](#)

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OVERVIEW

[View usage and activity](#)

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2,450 credits

[+ Add credits](#)

Have a look at our AI models



Alex

Kaylee

Amber

James

Sarah

Martin



Infashion AI may make mistakes. Verify important styling decisions.

Knowledge Graph



+ New Chat

MENU

My Creations

Model Gallery

Knowledge Graph

Share Options

RECENT CHATS

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chat 2

chat 3



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CREDITS
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Generate stunning images of AI models wearing your brand

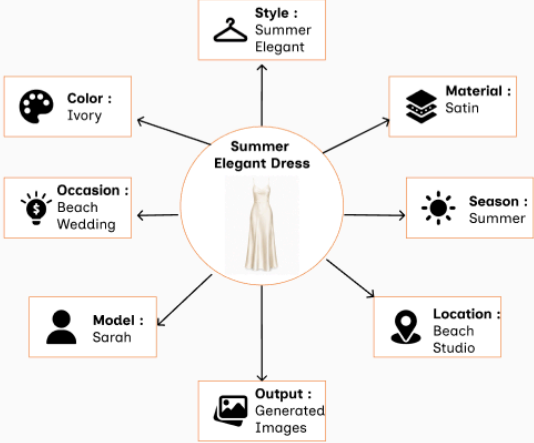
2,450 credits

+ Add credits



Knowledge Graph

Topics Infashion AI learnt from your style history



Selected node



Summer Elegant Dress

Type: Product

Style: Summer Elegant

Color: Ivory

Material: Satin

Occasion: Beach Wedding

Matched model: Sarah

Location: Beach Studio

Generate using this Graph

Infashion AI may make mistakes. Verify important styling decisions.

Share Options



+ New Chat

MENU

My Creations

Model Gallery

Knowledge Graph

Share Options

RECENT CHATS

chat 1

chat 2

chat 3



John Smith
email@gmail.com

CREDITS
2,450 credits

PLAN
Pro Plan

UPGRADE

OVERVIEW
View usage and activity

Generate AI Fashion Photos

Generate stunning images of AI models wearing your brand

2,450 credits

+ Add credits



Choose a project

Chat 1

Share options

Share this session, invite partners or export your look.

 Copy link

 Export to Instagram

 Export PDF

 Export Brand Analysis

 Invite collaborator

 More Options

Infashion AI may make mistakes. Verify important styling decisions.

User Profile

[+ New Chat](#)

MENU

- My Creations
- Model Gallery
- Knowledge Graph
- Share Options

RECENT CHATS

chat 1
chat 2
chat 3



John Smith
email@gmail.com

CREDITS

2,450 credits

PLAN

Pro Plan

[UPGRADE](#)

OVERVIEW

[View usage and activity](#)

Generate AI Fashion Photos

Generate stunning images of AI models wearing your brand

2,450 credits

[+ Add credits](#)

Personal information

[Edit](#)

John Smith
email@gmail.com

Subscription

Plan	Pro	Upgrade plan
Credits	2,450/10 0000	+ Add credits

Usage and Activity

Date joined	June 1, 2026
From	Germany
Renewal	Aug 1, 2026
Storage	2.3 GB / 10 GB

[View more stats](#)